

Turner Theological Seminary
**CONSOLIDATED
FINANCIAL
STATEMENTS**

For the Years ended June 30, 2025 and 2024



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CONSOLIDATED FINANCIAL STATEMENTS

For the years ended June 30, 2025 and 2024

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INDEPENDENT AUDITOR'S REPORT

To the Board of Trustees of
TURNER THEOLOGICAL SEMINARY:

Opinion

We have audited the accompanying financial statements of **TURNER THEOLOGICAL SEMINARY** (the Seminary), a nonprofit organization, which comprise the statements of financial position as of June 30, 2025 and 2024, and the related statements of activities, functional expenses and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of **TURNER THEOLOGICAL SEMINARY** as of June 30, 2025 and 2024, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are required to be independent of the Seminary and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Seminary's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

INDEPENDENT AUDITOR'S REPORT (Continued)

Auditor's Responsibilities for the Audit of Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Seminary's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Seminary's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

March 2, 2026

The Wesley Peachtree Group
Certified Public Accountants

TURNER THEOLOGICAL SEMINARY

STATEMENTS OF FINANCIAL POSITION
AS OF JUNE 30, 2025 AND 2024



	2025			2024		
	Without Donor Restrictions	With Donor Restrictions	Total	Without Donor Restrictions	With Donor Restrictions	Total
ASSETS:						
Current Assets:						
Cash and cash equivalents	\$ 122,502	\$ 4,828	\$ 127,330	\$ 322,566	\$ 19,000	\$ 341,566
Accounts receivable	24,296	-	24,296	7,866	-	7,866
<i>Total current assets</i>	<u>146,798</u>	<u>4,828</u>	<u>151,626</u>	<u>330,432</u>	<u>19,000</u>	<u>349,432</u>
Noncurrent Assets:						
Property and equipment, net of accumulated depreciation	1,334,204	-	1,334,204	1,012,105	-	1,012,105
<i>Total noncurrent assets</i>	<u>1,334,204</u>	<u>-</u>	<u>1,334,204</u>	<u>1,012,105</u>	<u>-</u>	<u>1,012,105</u>
Other Assets:						
Restricted investments, endowment funds	49,184	355,837	405,021	30,113	336,837	366,950
<i>Total other assets</i>	<u>49,184</u>	<u>355,837</u>	<u>405,021</u>	<u>30,113</u>	<u>336,837</u>	<u>366,950</u>
<i>Total Assets</i>	<u>\$ 1,530,186</u>	<u>\$ 360,665</u>	<u>\$ 1,890,851</u>	<u>\$ 1,372,650</u>	<u>\$ 355,837</u>	<u>\$ 1,728,487</u>
LIABILITIES:						
Current Liabilities:						
Accounts payable and accrued expenses	\$ 71,371	\$ -	\$ 71,371	\$ 120,600	\$ -	\$ 120,600
Bank line of credit	934,439	-	934,439	-	-	-
Deferred revenue	19,000	-	19,000	640,220	-	640,220
<i>Total current liabilities</i>	<u>1,024,810</u>	<u>-</u>	<u>1,024,810</u>	<u>760,820</u>	<u>-</u>	<u>760,820</u>
<i>Total Liabilities</i>	<u>1,024,810</u>	<u>-</u>	<u>1,024,810</u>	<u>760,820</u>	<u>-</u>	<u>760,820</u>
NET ASSETS:						
Net assets without donor restrictions	505,376	-	505,376	611,830	-	611,830
Net assets with donor restrictions	-	360,665	360,665	-	355,837	355,837
<i>Total Net Assets</i>	<u>505,376</u>	<u>360,665</u>	<u>866,041</u>	<u>611,830</u>	<u>355,837</u>	<u>967,667</u>
<i>Total Liabilities and Net Assets</i>	<u>\$ 1,530,186</u>	<u>\$ 360,665</u>	<u>\$ 1,890,851</u>	<u>\$ 1,372,650</u>	<u>\$ 355,837</u>	<u>\$ 1,728,487</u>

The accompanying notes are an integral part of these financial statements.

STATEMENTS OF ACTIVITIES

FOR THE YEARS ENDED JUNE 30, 2025 AND 2024

	2025			2024		
	Without Donor Restrictions	With Donor Restrictions	Total	Without Donor Restrictions	With Donor Restrictions	Total
REVENUES AND SUPPORT:						
Tuition and fees	\$ 729,303	\$ -	\$ 729,303	\$ 136,036	\$ -	\$ 136,036
Less: Scholarships and fellowships	(668,132)	-	(668,132)	-	-	-
<i>Net Tuition and fees</i>	<u>61,171</u>	<u>-</u>	<u>61,171</u>	<u>136,036</u>	<u>-</u>	<u>136,036</u>
Private gifts and grants	589,293	4,828	594,121	620,385	19,000	639,385
Sales and services of auxiliary enterprises	1,279,562	-	1,279,562	610,006	-	610,006
Scholarship revenue	-	-	-	11,500	-	11,500
Other income	803	-	803	67,034	-	67,034
Investment income, net	38,266	-	38,266	30,213	-	30,213
Net assets released from restrictions - <i>Satisfaction of Program Restrictions</i>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
<i>Total Revenues and Support</i>	<u>1,969,095</u>	<u>4,828</u>	<u>1,973,923</u>	<u>1,475,174</u>	<u>19,000</u>	<u>1,494,174</u>
EXPENSES:						
Program services	1,091,965	-	1,091,965	462,614	-	462,614
Management and general	983,584	-	983,584	951,235	-	951,235
<i>Total Expenses</i>	<u>2,075,549</u>	<u>-</u>	<u>2,075,549</u>	<u>1,413,849</u>	<u>-</u>	<u>1,413,849</u>
CHANGE IN NET ASSETS	(106,454)	4,828	(101,626)	61,325	19,000	80,325
NET ASSETS, beginning of the year	<u>611,830</u>	<u>355,837</u>	<u>967,667</u>	<u>550,505</u>	<u>336,837</u>	<u>887,342</u>
NET ASSETS, end of the year	<u><u>\$ 505,376</u></u>	<u><u>\$ 360,665</u></u>	<u><u>\$ 866,041</u></u>	<u><u>\$ 611,830</u></u>	<u><u>\$ 355,837</u></u>	<u><u>\$ 967,667</u></u>

The accompanying notes are an integral part of these financial statements.

STATEMENT OF FUNCTIONAL EXPENSES
FOR THE YEAR ENDED JUNE 30, 2025

	2025			
	Program Expenses	Management & General	Operations & Maintenance of Plant	Total Expenses
Salaries and wages	\$ 589,632	\$ 279,779	\$ 51,868	\$ 921,279
Payroll taxes and employee benefits	21,083	84,200	73,781	179,064
Contractual services	3,863	36,436	4,216	44,515
Professional services	-	75,000	-	75,000
Fundraising	-	295	-	295
Advertising and marketing	-	95,897	-	95,897
Bank fees	-	20,985	-	20,985
Office expense	21,969	75,869	-	97,838
Printing and publications	20,523	-	-	20,523
Recruitment	-	545	-	545
Furniture and equipment	17,324	-	-	17,324
Repairs and maintenance	-	-	54,334	54,334
Occupancy	147,414	-	-	147,414
Scholarship expenses	528	-	-	528
Insurance	44,743	-	-	44,743
Travel	-	105,578	-	105,578
Other expenses	26,751	30,531	34,848	92,130
<i>Total expenses before plant, interest and depreciation</i>	893,830	805,115	219,047	1,917,992
Operations and maintenance of plant	115,243	103,804	(219,047)	-
Interest	22,065	19,875	-	41,940
Depreciation	60,827	54,790	-	115,617
Total expenses	\$ 1,091,965	\$ 983,584	\$ -	\$ 2,075,549

The accompanying notes are an integral part of these financial statements.

TURNER THEOLOGICAL SEMINARY

STATEMENT OF FUNCTIONAL EXPENSES FOR THE YEAR ENDED JUNE 30, 2024



	2024			
	Program Expenses	Management & General	Operations & Maintenance of Plant	Total
Salaries and wages	\$ 51,023	\$ 135,802	\$ 106,223	\$ 293,048
Payroll taxes and employee benefits	22,085	125,532	-	147,617
Contractual services	46,431	186,575	88,050	321,056
Professional services	-	-	-	-
Fundraising	-	24,273	-	24,273
Advertising and marketing	-	69,221	-	69,221
Bank fees	-	4,216	-	4,216
Office expense	-	28,671	-	28,671
Printing and publications	-	20,479	-	20,479
Recruitment	-	1,570	-	1,570
Furniture and equipment	17,029	29,193	-	46,222
Repairs and maintenance	2,348	-	59,469	61,817
Occupancy	94,349	-	-	94,349
Scholarship expenses	56,257	-	-	56,257
Insurance	-	28,734	-	28,734
Travel	-	40,272	-	40,272
Other expenses	57,761	19,551	-	77,312
<i>Total expenses before plant, interest and depreciation</i>	347,283	714,089	253,742	1,315,114
Operations and maintenance of plant	83,025	170,717	(253,742)	-
Interest	46	96	-	142
Depreciation	32,260	66,333	-	98,593
<i>Total expenses</i>	<u>\$ 462,614</u>	<u>\$ 951,235</u>	<u>\$ -</u>	<u>\$ 1,413,849</u>

The accompanying notes are an integral part of these financial statements.

STATEMENTS OF CASH FLOW**FOR THE YEARS ENDED JUNE 30, 2025 AND 2024**

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES:		
Change in net assets	\$ (101,626)	\$ 80,325
<i>Adjustments to reconcile change in net assets to net cash (used in) provided by operating activities-</i>		
Depreciation expense	115,617	98,593
Increase in accounts receivable	(16,430)	-
Decrease in accounts payable and accrued expenses	(49,229)	(92,053)
(Decrease) Increase in deferred revenue	<u>(621,220)</u>	<u>640,220</u>
<i>Net cash (used in) provided by operating activities</i>	<u>(672,888)</u>	<u>727,085</u>
CASH FLOWS FROM INVESTING ACTIVITIES:		
Purchases of investments	(43)	(124)
Net realized and unrealized gains on investments	(38,028)	(34,597)
Net purchases of property and equipment	<u>(437,716)</u>	<u>(450,792)</u>
<i>Net cash used in investing activities</i>	<u>(475,787)</u>	<u>(485,513)</u>
CASH FLOWS FROM FINANCING ACTIVITIES:		
Proceeds from bank line of credit	<u>934,439</u>	<u>-</u>
<i>Net cash provided by financing activities</i>	<u>934,439</u>	<u>-</u>
NET (DECREASE) INCREASE IN CASH	(214,236)	241,572
CASH AND CASH EQUIVALENTS, beginning of the year	<u>341,566</u>	<u>99,994</u>
CASH AND CASH EQUIVALENTS, end of the year	<u>\$ 127,330</u>	<u>\$ 341,566</u>
<i>Supplemental disclosure and non-cash investing activities:</i>		
Cash Paid for Interest	<u>\$ 41,940</u>	<u>\$ 142</u>

The accompanying notes are an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

1. DESCRIPTION OF THE ORGANIZATION:

Turner Theological Seminary was incorporated in December 1975 for educational and religious purposes. The Seminary is chartered by the State of Georgia.

2. ACCREDITATION:

The Seminary's application for accreditation was approved in 2025 by the Transnational Association of Christian Seminaries and Schools (TRACS). Candidate Status is granted to institutions that are in basic compliance with the TRACS accreditation standards. Basic compliance is determined by the Accreditation Commission that an institution is in full compliance with all standards related to institutional eligibility requirements and has the ability to be in substantial compliance with all accreditation standards within the period of candidacy.

Candidacy will be for a period of up to five (5) years. To remain in Candidate Status, the Seminary must maintain compliance with all institutional eligibility requirements. Such requirements include institutional integrity, faith-based statement, mission and purpose, operational authority, organizational structure, publications and policies, educational program, faculty, student services, financial operations, institutional assessment, strategic planning, library and learning resources, facilities and equipment, health and security and federal requirements.

The U.S. Department of Education (USDE) does recognize TRACS as an approved accreditor. The USDE also allows eligible institutions in Candidate Status to participate in its various federal programs, including the federal student financial assistance programs.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND OTHER MATTERS:

Basis of Accounting and Reporting - The Seminary prepares its financial statements in accordance with accounting principles generally accepted in the United States of America, which involves the application of accrual accounting; consequently, revenues and gains are recognized when earned, and expenses and losses are recognized when incurred.

Basis of Presentation - The accompanying financial statements are prepared based on the concept of "net assets". Net assets, revenue and support, expenses, gains and losses are classified based on the existence or absence of donor-imposed restrictions. Accordingly, the net assets of the Seminary and changes therein are classified and reported as follows:

NOTES TO THE FINANCIAL STATEMENTS**JUNE 30, 2025 AND 2024***(Continued)***3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND OTHER MATTERS: (Continued)****Basis of Presentation - (continued)**

- Net assets without donor restrictions - Net assets available for use in general operations and not subject to donor (or certain grantor) restrictions.
- Net assets with donor restrictions - Net assets subject to donor (or certain grantor) imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. Gifts of long-lived assets and gifts of cash restricted for the acquisition of long-lived assets are recognized as revenue when the assets are placed in service. Donor-imposed restrictions are released when a restriction expires, that is when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both. When a restriction expires, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the *Statement of Activities* as net assets released from restrictions.

The Seminary's policy is to record net assets whose restrictions expire within a year as net assets without donor restrictions. Any such net assets received but not expended are recorded as deferred revenue.

Use of Estimates - Management uses estimates and assumptions in preparing financial statements. Those estimates and assumptions affect the reported amounts of assets and liabilities, the disclosure of contingencies and the reported revenues and expenses. Actual results could differ from those estimates. Significant estimates used in the preparation of the accompanying financial statements are disclosed in various sections of the notes to the financial statements.

Reclassifications - Certain revenues and expenses in the fiscal year 2024 have been reclassified to conform to the 2025 presentation in the accompanying financial statements.

Revenue and Revenue Recognition - The Seminary has adopted Accounting Standards Update (ASU) No. 2018-08 Not-for-Profit Entities: Clarifying the Scope and the Accounting Guidance for Contributions Received and Contributions Made (Topic 605), as management believes the standard improves usefulness and understandability of the Seminary's financial reporting.

The Seminary recognizes revenue from student tuition and fees during the year in which the related services are provided to students. The performance obligation of delivering educational services is simultaneously received and consumed by the students; therefore, the revenue is recognized ratably over the course of the academic year.

The Seminary recognizes contributions when cash, securities or other assets; and unconditional promise to give; or a notification of beneficial interest are received. Conditional promises to give, those with a measurable performance or other barrier and a right of return, are not recognized until the conditions on which they depend have been met.

NOTES TO THE FINANCIAL STATEMENTS**JUNE 30, 2025 AND 2024***(Continued)***3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND OTHER MATTERS: (Continued)**

Cash and Cash Equivalents - Cash and cash equivalents include all monies in banks and highly liquid investments with maturity dates of less than three months.

Concentration of Credit Risk - The Seminary maintains cash balances with various financial institutions, which at times may exceed the Federal Deposit Insurance Corporation limits. The Seminary had accounts exceeding the federally insured limit.

Fair Value of Financial Instruments - The carrying amount of cash and accounts receivable approximates fair value because of the short maturity of these financial instruments. The carry value of capital activity such as investments is based upon values provided by an external investment manager or quoted market values.

Investments and Investment Income - The Seminary's investments are stated at fair value. The cost assigned to investments acquired by gift is the market value at date of donation. All gains and losses arising from the sale, collection or other disposition of investments and ordinary income derived from investments of endowment and similar funds. That income is accounted for as net assets with donor restrictions or without donor restrictions.

Accounts Receivable - Accounts receivable are reported net of an allowance for doubtful accounts. The allowance is an estimate by management based upon an analysis of delinquent amounts, ability and intent to pay. These estimated uncollectible amounts can be affected by changes in economic circumstances, and as a result, it is possible that the allowance for doubtful accounts could change.

Property and Equipment - Property and equipment are carried at cost or, if donated, at the approximate fair value at the date of donation. Depreciation is computed using primarily the straight-line method. The useful of the related asset class are as follows:

Buildings	40 years
Building improvements	15 years
Furniture and equipment	7-10 years

Contributed Services - The Seminary receives a substantial amount of services donated by the members of the Board of Trustees and certain officers in carrying out the seminary activities. No amounts have been reflected in the financial statements for those services.

Deferred Revenue - The Seminary entered into a Memorandum of Understanding with Spelman Seminary to provide housing for its students for the Fall 2024 and Spring 2025 semesters. Spelman advanced the funds to the Seminary in 2024. The amount advanced is considered deferred revenue and has been recorded as such in the accompanying financial statements.

NOTES TO THE FINANCIAL STATEMENTS**JUNE 30, 2025 AND 2024****(Continued)****3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND OTHER MATTERS: (Continued)**

Income Taxes - The Seminary is exempt from Federal and State income taxes under Section 501(c)(3) of the Internal Revenue Code (the "Code") whereby only unrelated business income, as defined by Section 512(a)(1) of the Code, is subject to Federal income tax. The Seminary has been classified as a public charity under Sections 509(a)(1) and 170(b)(1)(A)(vi) of the Code. Accounting principles generally accepted in the United States of America require the Seminary's management to evaluate tax positions taken by the Seminary and to recognize a tax liability (or asset) if the Seminary has taken an uncertain tax position that will more-likely-than-not be sustained upon examination by taxing authorities. Management has analyzed the tax positions taken by the Seminary for the years ended June 30, 2025 and 2024 and believes that there are no such positions as of June 30, 2025 and 2024. Accordingly, no liability has been accrued.

The Seminary is subject to routine audits by taxing jurisdictions; however, there are currently no audits of any tax periods in progress.

New Accounting Pronouncements - ASU 2023-08, December 2023, *Intangibles-Goodwill and Other-Crypto Assets (Subtopic 350-60)*, effective for fiscal years beginning after December 15, 2024, require that an entity measure crypto assets at fair value in the statement of financial position; recognize changes from remeasurement in net income; and, provide enhanced disclosures with relevant information to analyze and assess the exposure and risk of significant individual crypto asset holdings.

ASU 2023-01, March 2023, *Leases (Topic 842)*, *Common Control Arrangements*, effective for fiscal years beginning after December 15, 2023, provides guidance over leases between entities under common control.

In February 2016, the FASB issued ASU 2016-02, *Conforming Amendments Related to Leases (Topic 842)*. This ASU amends the codification regarding leases in order to increase transparency and comparability. The ASU requires companies to recognize lease assets and liabilities on the Statement of Financial Position and disclose key information about leasing arrangements. A lessee would recognize a liability to make lease payment and a right-of-use asset representing its right to use the leased asset for the lease term. In July 2018, the FASB issued ASU 2018-11, *Leases: Targeted Improvements*, which provides that companies can initially apply the new leases standard at adoption and recognize a cumulative-effect adjustment to the opening balance of the net assets in the period of adoption. The ASUs are effective for annual periods beginning after December 15, 2020 with early adoption permitted. The Seminary adopted these pronouncements in fiscal year 2023.

In September 2020, FASB issued ASU 2020-07, *Presentation and Disclosures by Not-for-Profit Entities for Contributed Nonfinancial Assets (Topic 958)* effective for fiscal years beginning after June 15, 2021 with early adoption permitted. This ASU requires a separate line-item disclosure of contributed nonfinancial assets apart from the contributions of cash and other financial assets. The ASU also requires additional disclosures such as basis of valuation, donor-imposed restrictions, monetizing policy and other qualitative measures. The Seminary implemented this ASU during its fiscal year 2022.

NOTES TO THE FINANCIAL STATEMENTS**JUNE 30, 2025 AND 2024***(Continued)***4. LIQUIDITY AND AVAILABILITY:**

Financial assets available for general expenditures, that without donor or other restrictions limiting their use, within one (1) year of the *Statement of Financial Position* date, comprise the following:

	2025	2024
Cash and cash equivalents	\$ 122,502	\$ 322,566
Accounts and other receivables	24,296	7,866
<i>Financial assets available within one year</i>	<u>\$ 146,798</u>	<u>\$ 330,432</u>

Operating revenues for the fiscal year were below initial projections due in part to the timing and variability of anticipated contributions, as compared to previous three (3) fiscal years. Additionally, the Seminary provided \$688,132 in institutionally funded scholarships and fellowships during fiscal year 2025. The Board of Trustees and institutional leadership remain actively engaged in strengthening philanthropic support and expanding stakeholder partnerships in alignment with the Seminary's strategic priorities and long-term financial sustainability.

Operating expenses for the fiscal year exceeded initial projections because of facility renovations aimed at enhancing the campus student residential units for approximately \$255,416. These expenses were appropriately recorded as capital improvements.

5. INVESTMENTS:

At June 30, 2025 and 2024, investments, stated at fair value are comprised of the following:

	2025	2024
Marketable securities -		
Mutual funds, stocks and bonds	\$ 394,781	\$ 357,150
Total marketable securities	394,781	357,150
Cash and cash equivalents	10,240	9,800
<i>Total investments</i>	<u>\$ 405,021</u>	<u>\$ 366,950</u>

NOTES TO THE FINANCIAL STATEMENTS**JUNE 30, 2025 AND 2024***(Continued)***5. INVESTMENTS: (Continued)**

Level 2 - Valuations based on observable inputs other than Level 1 prices such as quoted prices for similar assets or liabilities; quoted prices in inactive markets; or model-derived valuations where all significant inputs are observable and can be derived principally from or corroborated with observable market data.

Level 3 - Valuations based on unobservable inputs are used when little or no market data is available. The fair value hierarchy gives lowest priority to Level 3 inputs.

The Seminary's investments are level 1 valuations.

6. PROPERTY AND EQUIPMENT:

Property and equipment at June 30, 2025 and 2024 consist of the following:

	2025	2024
Land	\$ 69,139	\$ 69,139
Building	1,075,470	1,075,470
Building improvements	813,050	425,244
Furniture and equipment	461,711	411,801
<i>Total property and equipment</i>	2,419,370	1,981,654
Less: Accumulated depreciation	(1,085,166)	(969,549)
<i>Net property and equipment</i>	<u><u>\$ 1,334,204</u></u>	<u><u>\$ 1,012,105</u></u>

7. DEFERRED REVENUE:

In fiscal year 2024, deferred revenue represented payments received from Spelman Seminary, as part of a housing agreement. During the year ended June 30, 2024, the Seminary received \$640,000 in upfront, non-refundable payments. According to the agreement, payment was received July 1, 2024. All advance funds were expensed during 2025.

In 2025, the Seminary reported \$19,000 in deferred revenue for donor-imposed funds for which the imposed condition had not yet been met. As of June 30, 2025, the total deferred revenue was \$19,000.

No other changes were made to payment terms or performance obligations during the reporting period.

NOTES TO THE FINANCIAL STATEMENTS**JUNE 30, 2025 AND 2024***(Continued)***8. LINE OF CREDIT:**

The Seminary obtained a \$1.5 million line-of-credit (LOC) on September 3, 2024 with a commercial bank, secured by investments held by the lender, bearing interest at 8.5%, with a balance of \$934,439 outstanding as of June 30, 2025. The maturity date for the LOC is August 3, 2027.

9. RELATED PARTIES, COMMITMENT AND CONTINGENCIES:

The Seminary is economically dependent on donations, gifts and contributions from the Connectional African Methodist Episcopal Church and the Sixth Episcopal District of the African Methodist Episcopal Church. The Sixth Episcopal District contributed \$167,000 to the Seminary for the years ended June 30, 2025 and 2024. The Connectional African Methodist Episcopal Church contributed \$247,000 and \$267,200 to the Seminary for the years ended June 30, 2025 and 2024, respectively. Other African Methodist Episcopal Church Districts also provide financial support for the Seminary.

10. RESTRICTIONS AND LIMITATIONS ON NET ASSETS:

As of June 30, 2025 and 2024, net assets with donor restrictions were as follows:

	2025	2024
<i>Restricted in perpetuity, subject to spending policy and appropriation</i>		
Original corpus	\$ 355,837	\$ 336,837
Contributions	4,828	19,000
Unrealized gain (loss) on endowment	-	-
<i>Total restricted in perpetuity, subject to spending policy and appropriation</i>	<u>360,665</u>	<u>355,837</u>
<i>Total net assets with donor restriction</i>	<u>\$ 360,665</u>	<u>\$ 355,837</u>

The Seminary's endowment primarily consists of individual funds established to provide scholarships to eligible students of the Seminary. As required by U.S. generally accepted accounting principles, net assets associated with the endowment fund, including funds designated by the Board of Trustees to function as endowments, are classified and reported based on the existence or absence of donor-imposed restrictions.

NOTES TO THE FINANCIAL STATEMENTS**JUNE 30, 2025 AND 2024***(Continued)***10. RESTRICTIONS AND LIMITATIONS ON NET ASSETS: (Continued)**

The Board of Trustees of the Seminary has interpreted the Uniform Prudent Management of Institutional Funds Act ("UPMIFA") as requiring the preservation of the fair value of the original gift, as of the gift date of the donor-restricted endowment funds absent explicit donor stipulations to the contrary. As result of this interpretation, the Seminary classifies as donor restricted net assets (a) the original value of gifts donated to the permanent endowment, (b) the original value of subsequent gifts to the permanent endowment, and (c) accumulations to the permanent endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund.

The remaining portion of the donor-restricted endowment fund that is considered accumulated appreciation is also classified as donor restricted net assets until endowment resources are appropriated for expenditure by the Seminary in a manner consistent with the standard of prudence prescribed by UPMIFA. In accordance with UPMIFA, the Seminary considers the following factors in making a determination to appropriate or accumulate donor restricted endowment funds:

- a. The duration and preservation of the fund;
- b. The purposes of the Seminary and the donor-restricted endowment fund;
- c. General economic conditions;
- d. The possible effect of inflation and deflation;
- e. The expected total return from income and the appreciation of investments;
- f. Other resources of the Seminary; and
- g. The investment policies of the Seminary

Return Objectives and Risk Parameters - The Seminary has adopted investment and spending policies for endowment assets that attempt to provide a predictable stream of funding to programs supported by its endowment while seeking to maintain the purchasing power of the endowment assets. Endowment assets include those assets of donor-restricted funds that the Seminary must hold in perpetuity, the income earned on those assets as well as board-designated funds. Under this policy, as approved by the Board of Trustees, the endowment assets are invested in a manner that is intended to produce an inflation-adjusted income stream to grow the corpus above the inflation rate.

Spending Policy and How the Investment Objectives Relate to the Spending Policy - The Seminary has a policy of disbursing each year 5% of the rolling average June 30th market values of the endowment funds at the end of a consecutive three-year period. In establishing this policy, the Seminary considered long-term expected return on its endowment. This is consistent with the Seminary's objective to maintain purchasing power of the endowment assets held in perpetuity or for a specified time as well as to provide additional real growth through new gifts and investment returns. The Seminary did not make any withdrawals other than the earnings from the endowments.

NOTES TO THE FINANCIAL STATEMENTS**JUNE 30, 2025 AND 2024***(Continued)***10. RESTRICTIONS AND LIMITATIONS ON NET ASSETS: (Continued)**

Strategies Employed for Achieving Objectives -To satisfy its long-term rate-of-return objective, the Seminary relies on a total return strategy in which investment returns are achieved through both capital appreciation (realized and unrealized) and current yield (interest and dividends). The Seminary has targeted certificates of deposit to achieve its long-term return objectives within prudent risk constraints.

A reconciliation of the endowment funds are as follows:

	2025		
	Without Donor- Restrictions	With Donor- Restrictions	Total
Beginning balance	\$ 30,113	\$ 336,837	\$ 366,950
Contributions received	-	4,828	4,828
Investment income, net	38,071	-	38,071
Appropriations/disbursements	-	-	-
Transfer of net assets	(19,000)	19,000	-
Ending balance	\$ 49,184	\$ 360,665	\$ 409,849

	2024		
	Without Donor- Restrictions	With Donor- Restrictions	Total
Beginning balance	\$ (4,608)	\$ 336,837	\$ 332,229
Contributions received	-	-	-
Investment income, net	34,721	-	34,721
Appropriations/disbursements	-	-	-
Transfer of net assets	-	-	-
Ending balance	\$ 30,113	\$ 336,837	\$ 366,950

11. SUBSEQUENT EVENTS:

Subsequent to year-end, on August 1, 2025, the Seminary formally submitted its application for institutional eligibility to participate in the federal student financial aid programs under Title IV of the Higher Education Act of 1965, as amended. As of March 2, 2026, the application is currently pending approval by the U.S. Department of Education.

NOTES TO THE FINANCIAL STATEMENTS

JUNE 30, 2025 AND 2024

(Continued)

11. SUBSEQUENT EVENTS: *(Continued)*

In connection with this application, the Seminary has not been required to provide a letter of credit to the Department of Education. Management expects that the successful attainment of Title IV eligibility will significantly impact future enrollment and cash flows; however, the ultimate outcome and timing of the approval process cannot be determined at this time.

The date through which subsequent events have been evaluated is March 2, 2026, the date in which the accompanying financial statements were available for issuance.



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